

The Dollar's 13-Month High Is a Capital Cost Signal for CRE

A stronger dollar raises the cost of foreign equity and debt, compressing liquidity for U.S. real estate.

The dollar hit a 13-month high this week, and the capital flowing into it is not coming to commercial real estate. Foreign investors are buying U.S. currency on the back of the AI boom and the prospect of a Federal Reserve rate increase later this year. For CRE owners and lenders, the signal is not about currency markets.

It is about the cost and availability of the next dollar of debt or equity. The dollar's strength is a tax on foreign capital allocated to U.S. real estate. A European pension fund or Asian family office that commits equity to a U.S. office or multifamily deal now faces a higher currency-adjusted entry cost. The same dollar-denominated return buys less in home currency terms.

That does not stop all foreign capital, but it raises the required return threshold. Deals that penciled at a 7 percent unlevered yield last year now need 7.5 or 8 percent to clear the same internal hurdle. The timing matters. Foreign capital has been a meaningful marginal buyer of U.S. commercial real estate, particularly in gateway markets and core-plus strategies. If that bid thins, the pool of equity competing for assets shrinks.

Sellers who hoped foreign buyers would step in as domestic institutional capital retrenches may find fewer bids at their target pricing. The same logic applies to debt. Cross-border lenders, including Canadian banks, European insurers, and Asian financial institutions, underwrite dollar-denominated loans but fund in their home currencies. A stronger dollar raises their effective cost of funds. That pressure shows up in wider spreads, tighter loan-to-value ratios, or simply fewer term sheets.

The marginal lender becomes more selective, and the borrower with a less-than-pristine asset or sponsor feels the squeeze first. The Fed rate increase that the market is pricing is not yet a fact, but the dollar move is already a fact. It is compressing the capital stack from two directions: higher debt costs from the rate expectation and higher equity costs from the currency adjustment.

For a market already absorbing the repricing of office, the maturity wall in multifamily, and the pullback of regional banks, this is an additional headwind. Who benefits?

Domestic lenders and equity providers who do not face currency risk. U.S. banks, private credit funds, and opportunity funds that raise capital in dollars have a relative cost advantage over foreign competitors.

That advantage may show up in deal flow as foreign capital retreats from marginal transactions. Who is exposed? Sponsors with maturing loans that were counting on foreign capital to refinance or recapitalize. Owners of assets in secondary markets where foreign buyers have been active. Any borrower whose loan documents include a currency covenant or whose capital stack depends on a cross-border equity commitment that has not yet closed.

What should the market watch next? The correlation between the dollar index and CRE transaction volume. If the dollar stays elevated through the third quarter, expect foreign capital participation in large-ticket sales to decline. Watch the next round of CMBS conduit deals for changes in the share of loans originated by foreign banks. And watch the pricing of dollar-denominated CRE debt issued by foreign lenders in the private placement market.

The dollar's rise is not a CRE story in the headline. It is a capital cost story in the underwriting. The market is not rewarding optimism. It is rewarding structure, and structure just got more expensive for anyone who needs to import capital.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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